Lesson 10: Expected Values

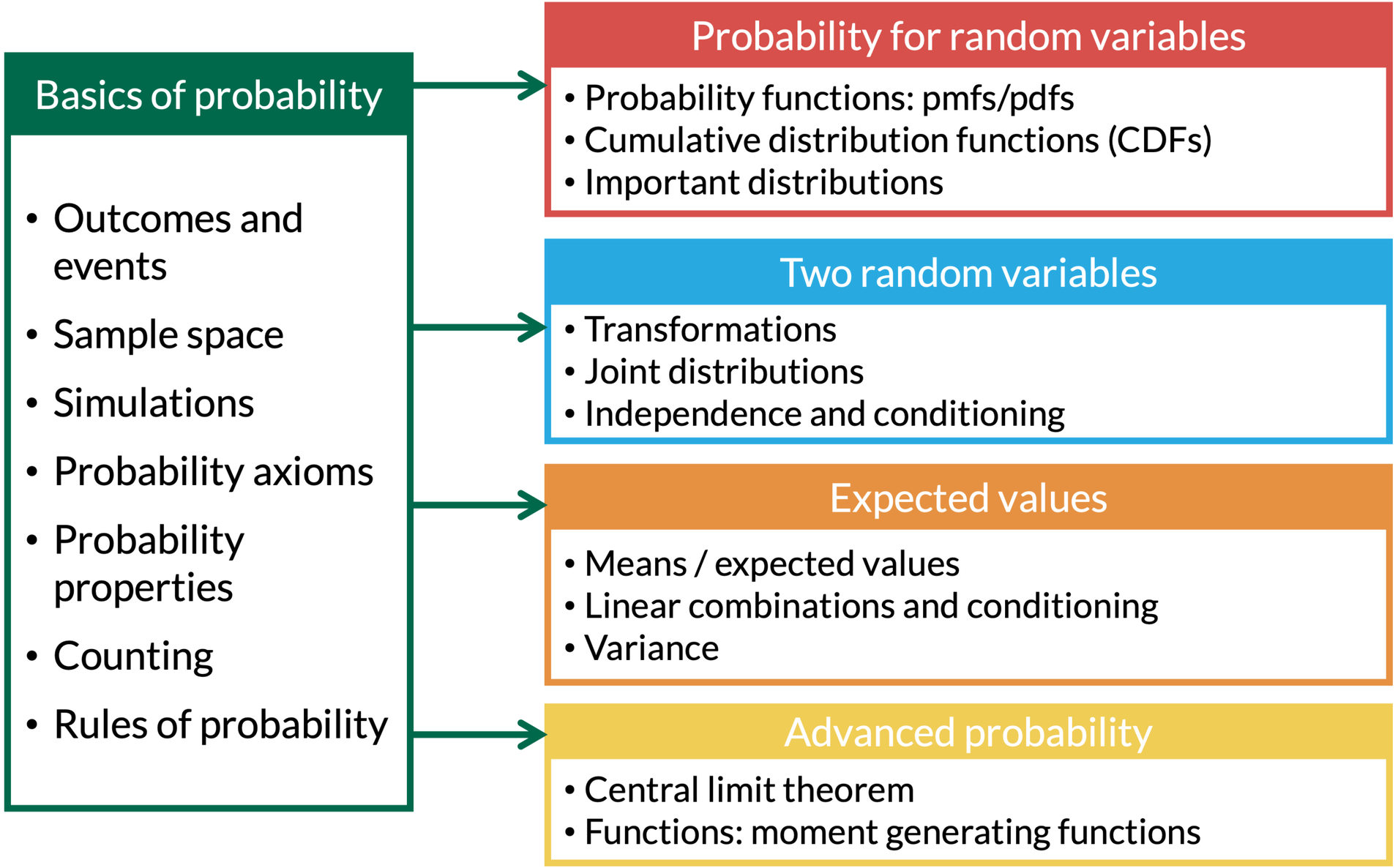
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Learning Objectives

1. Define the expected value for discrete and continuous RVs
2. Calculate the expected value (mean) of a single discrete RV
3. Calculate the expected value (mean) of a single continuous RV
4. Calculate expected value for the sum of discrete or continuous RVs

Where are we?


Basics of probability
• Outcomes and events
• Sample space
• Simulations
• Probability axioms
• Probability properties
• Counting
• Rules of probability
Probability for random variables
• Probability functions: pmfs/pdfs
• Cumulative distribution functions (CDFs)
• Important distributions
Two random variables
• Transformations
• Joint distributions
• Independence and conditioning
Expected values
• Means / expected values
• Linear combinations and conditioning
• Variance
Advanced probability
• Central limit theorem
• Functions: moment generating functions

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What is an expected value?

Definition: Expected value of **discrete** RV

The **expected value** of a **discrete RV** X that takes on values $x_1, x_2, \dots, x_n$ is

$$\mathbb{E}[X] = \sum_{i=1}^{n} x_i p_X(x_i)$$

where n can be ∞

Definition: Expected value of **continuous** RV

The **expected value** of a **continuous RV** X is

$$\mathbb{E}[X] = \int_{-\infty}^{\infty} x f_X(x) dx$$

where we adjust the integrand based on the bounds of X

Our good and fair friend, the 6-sided die

Example 1

Suppose you roll a fair 6-sided die. What value do you expect to get?

Let X be the value rolled. Since the die is fair, $p_X(x) = \frac{1}{6}$ for $x = 1, 2, \ldots, 6$.

$$\begin{aligned}
\mathbb{E}[X] &= \sum_{i=1}^{6} x_i \, p_X(x_i) \\
&= 1\left(\tfrac{1}{6}\right) + 2\left(\tfrac{1}{6}\right) + 3\left(\tfrac{1}{6}\right) + 4\left(\tfrac{1}{6}\right) + 5\left(\tfrac{1}{6}\right) + 6\left(\tfrac{1}{6}\right) \\
&= \frac{1+2+3+4+5+6}{6} = \frac{21}{6} = 3.5
\end{aligned}$$

- 3.5 is the long-run average: if we roll the die many, many times, the average of the rolls will be close to 3.5

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Our good and not-so-fair friend, the 6-sided die

Example 2

Suppose the die is 6-sided, but not fair. And the probabilities of each side are distributed as:

x	$p_X(x)$
1	0.10
2	0.05
3	0.02
4	0.30
5	0.50
6	0.03

What value do you expect to get on a roll?

Let's simulate our not-so-fair die

- Same idea as Lesson 2: simulate many rolls, then summarize
- `prob` gives the probability of each side, like the unfair coin in Lesson 1

```
1 set.seed(1026)                                                    ①
2 reps <- 10000                                                     ②
3 die_probs <- c(0.10, 0.05, 0.02, 0.30, 0.50, 0.03)                ③
4
5 X_sims <- tibble(sim = 1:reps) |>                                 ④
6   mutate(X = sample(1:6, n(), replace = TRUE,                     ⑤
7                     prob = die_probs))
```

- Average of the 10,000 simulated rolls:

```
1 X_sims |>                                                         ⑥
2   summarise(average = mean(X))
```

```
# A tibble: 1 × 1
  average
    <dbl>
1    4.16
```

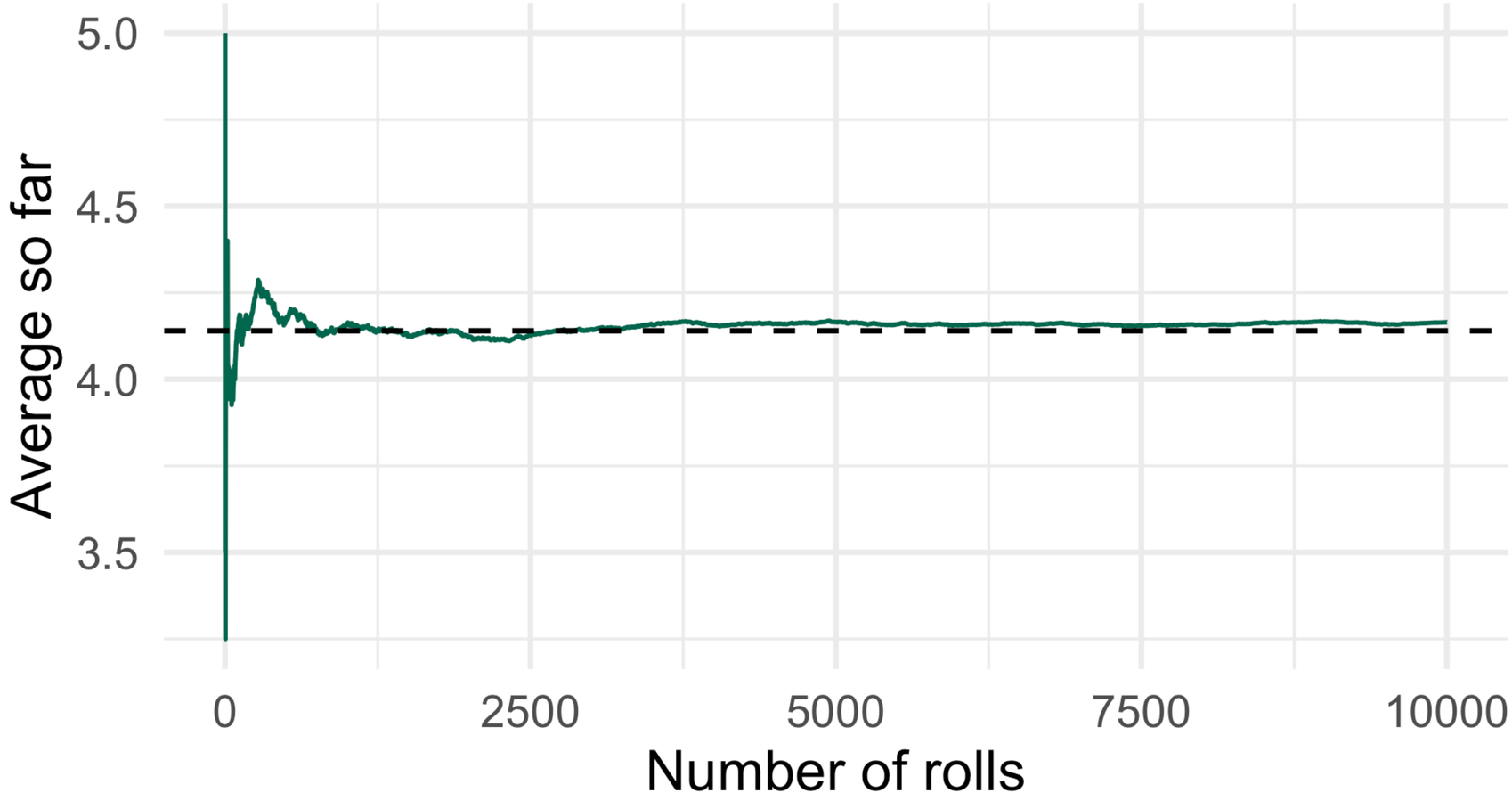
From Example 2, $\mathbb{E}[X] = 1(0.10) + 2(0.05) + 3(0.02) + 4(0.30) + 5(0.50) + 6(0.03) = 4.14$

The simulated average is very close!

The running average settles at $\mathbb{E}[X]$

- The **expected value** is the long-run average: after many rolls, the average of the rolls gets close to 4.14 (dashed line)

▶ Show/Hide Code for the running average plot



Expected value of a Bernoulli distribution

Example 3

Suppose

$$X = \begin{cases} 1 & \text{with probability } p \quad (\text{success}) \\ 0 & \text{with probability } 1-p \quad (\text{failure}) \end{cases}$$

Find the expected value of X.

Let’s slightly change our random variable

Example 4

Suppose

$$X = \begin{cases} 1 & \text{with probability } p \\ -1 & \text{with probability } 1-p \end{cases}$$

Find the expected value of X.

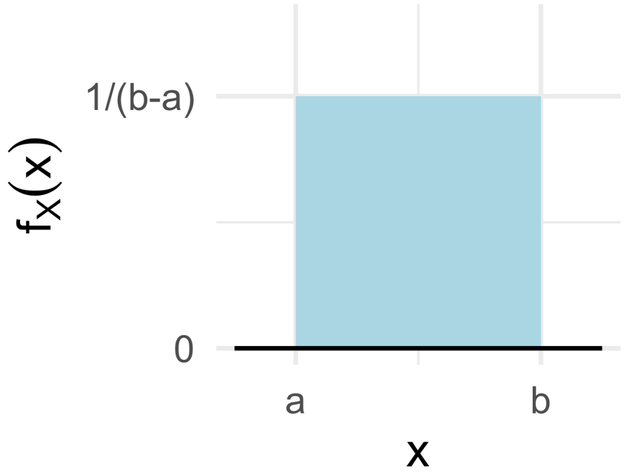
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Expected Value of the Uniform Distribution

Example 5

Let $f_X(x) = \frac{1}{b-a}$, for $a \leq x \leq b$. Find $\mathbb{E}[X]$.



Expected Value of the Exponential Distribution

Example 6

Let $f_X(x) = \lambda e^{-\lambda x}$, for $x > 0$ and $\lambda > 0$. Find $\mathbb{E}[X]$.

Integrating by Parts

$$\int_a^b u dv = uv\Big|_a^b - \int_a^b v du$$

Picking up our exponential simulation from Lesson 9

- In Lesson 9 (Example 4), we simulated X with pdf $f_X(x) = 2e^{-2x}$: Example 6 with $\lambda = 2$
- Same code as Lesson 9, so we get the same 10,000 simulated values

```
1 set.seed(2026)                                                          ①
2 reps <- 10000
3 exp_sims <- tibble(u = runif(n = reps, min = 0, max = 1)) |>            ②
4   mutate(x = -log(1 - u) / 2)
```

- New step: the average of the 10,000 simulated values

```
1 exp_sims |>                                                             ③
2   summarise(average = mean(x))
```

```
# A tibble: 1 × 1
  average
    <dbl>
1   0.498
```

From Example 6, $\mathbb{E}[X] = \frac{1}{\lambda} = \frac{1}{2}$

The simulated average is very close!

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Revisiting our two card draw

Example 7

Suppose you draw 2 cards from a standard deck of cards *with* replacement. Let X be the number of hearts you draw. Find $\mathbb{E}[X]$.

Recall Binomial RV with $n = 2$:

$$p_X(x) = \binom{2}{x} p^x (1-p)^{2-x} \quad \text{for } x = 0, 1, 2$$

Sums of Random Variables

Theorem: Sum of random variables

For RVs (discrete or continuous) X_i and constants $a_i, i = 1, 2, \dots, n$,

$$\mathbb{E}\left[\sum_{i=1}^{n} a_i X_i\right] = \sum_{i=1}^{n} a_i \mathbb{E}[X_i].$$

Remark: The theorem holds for infinitely many RVs X_i as well.

- For two RVs, X and Y:
  - We can say $E[X + Y] = E[X] + E[Y]$
  - … and constant numbers a and b, we can also say $E[aX + bY] = aE[X] + bE[Y]$
  - We can also also say $E[X - Y] = E[X] - E[Y]$, since $b = -1$

Corollaries from Theorem

Function with two constants

For a RV X, and constants a and b,

$$\mathbb{E}[aX + b] = a\mathbb{E}[X] + b.$$

Expected value of sum of identically distributed RVs

If $X_i, i = 1, 2, \dots, n$, are identically distributed RV's, then

$$\mathbb{E}\left[\sum_{i=1}^{n} X_i\right] = n\mathbb{E}[X_1].$$

Cost of hotel rooms

Example 8

A tour group is planning a visit to the city of Minneapolis and needs to book 30 hotel rooms. The average price of a room is $200. In addition, there is a 10% tourism tax for each room. What is the expected cost for the 30 hotel rooms?

Let's simulate the cost of hotel rooms (1/2)

- Assume each room is equally likely to cost $180, $200, or $220, so the average price is $200

```
1  reps <- 10000
2  n_rooms <- 30
3  room_prices <- c(180, 200, 220)
4
5  rooms <- expand_grid(sim = 1:reps, room = 1:n_rooms) |>
6    mutate(price = sample(room_prices, n(), replace = TRUE),
7           cost = 1.1 * price)
8
9  cost_sims <- rooms |>
10   group_by(sim) |>
11   summarise(total_cost = sum(cost))
```

① ② ③ ④ ⑤ ⑥

```
1  rooms
```

```
# A tibble: 300,000 × 4
     sim  room price  cost
   <int> <int> <dbl> <dbl>
 1     1     1   200   220
 2     1     2   220   242
 3     1     3   180   198
 4     1     4   220   242
 5     1     5   200   220
 6     1     6   200   220
 7     1     7   180   198
 8     1     8   180   198
 9     1     9   220   242
10     1    10   180   198
# ℹ 299,990 more rows
```

Let's simulate the cost of hotel rooms (2/2)

- Average total cost over the 10,000 simulations:

```
1 cost_sims |>
2   summarise(average = mean(total_cost))
```

```
# A tibble: 1 × 1
  average
    <dbl>
1   6599.
```

From Example 8, $\mathbb{E}\left[\sum_{i=1}^{30} 1.1X_i\right] = 30(1.1)(200) = \$6600$

- Any room prices with an average of $200 give the same expected total. Try changing `room_prices`!

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